



FUNDAMENTALS OF ACCOUNTING

B. Tech / BS(Hons) – Sem 6



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Financial Statements of Sole Proprietorship

PW 2: Given below are the balances extracted from the books of Nagarajan as on 31st March, 2016:

Particulars	Amount (₹)	Particulars	Amount (₹)
Purchases	10,000	Sales	15,100
Wages	600	Commission received	1,900
Freight inwards	750	Rent received	600
Advertisement	500	Creditors	2,400
Carriage outwards	400	Capital	5,000
Cash	1,200		
Machinery	8,000		
Debtors	2,250		
Bills receivable	300		
Stock as on 1-4-2015	1,000		
	<u>25,000</u>		<u>25,000</u>

Prepare the trading and profit and loss account for the year ended 31st March, 2016 and the balance sheet as on that date after adjusting the following:

- (a) Commission received in advance ₹ 400.
- (b) Advertisement paid in advance ₹ 150.
- (c) Wages outstanding ₹ 200.
- (d) Closing stock on 31st March 2016, ₹ 2,100.

ALL THE BEST